



SUMMARY REPORT

Agenda Date: 10/8/2019

To: Board of Directors, Sonoma County Water Agency, Occidental, Russian River, Sonoma Valley and South Park County Sanitation Districts

Department or Agency Name(s): Sonoma County Water Agency, Occidental, Russian River, Sonoma Valley and South Park County Sanitation Districts

Staff Name and Phone Number: Lynne Rosselli / 707-524-3771

Vote Requirement: 4/5

Supervisory District(s): All

Title:

Consulting Services for Sanitary Sewer Service Charges, Connection Fees, and Capacity Charges

Recommended Action:

In an ongoing effort to ensure the long-term financial sustainability of Sonoma Water's wastewater facilities:

- A) Authorize Sonoma County Water Agency's General Manager to execute an agreement with Bartle Wells Associates for consulting services to prepare a rate study for sanitary sewer service charges, connection fees, and capacity charges through September 30, 2022, in the not-to-exceed amount of \$275,000. (Majority Vote)
- B) Adopt a Resolution of the Boards of Directors of the Sonoma County Water Agency authorizing adjustments to the Board Adopted Budget for Fiscal Year 2019/2020 for the Sonoma County Water Agency General Fund in the amount of \$275,000. (4/5th Vote Requirement)

Executive Summary:

Under the proposed agreement, Bartle Wells Associates will prepare a rate study for sanitary sewer service charges, sewer connection fees, and sewer capacity charges for County Sanitation Districts and Sonoma Water's Sanitation Zones.

Discussion:

HISTORY OF ITEM/BACKGROUND

Sonoma County Water Agency (Sonoma Water) was created as a special district in 1949 by the California Legislature to provide flood protection and water supply services. Sonoma Water manages and maintains a water transmission system that provides naturally filtered Russian River water to nine cities and special districts that, in turn, deliver drinking water to more than 600,000 residents in portions of Sonoma and Marin counties. Legislation enacted in 1995 added the treatment and disposal of wastewater to the Sonoma Water's responsibilities.

Sonoma Water assumed management responsibilities for the County of Sonoma Sanitation Districts and Zones on January 1, 1995, from the former Sonoma County Department of Public Works.

The County Sanitation Districts and Sonoma Water Sanitation Zones include eight wastewater collection and/or treatment facilities that treat wastewater to secondary and tertiary standards. The average dry

weather flow ranges from 2,000 to 2,800,000 gallons per day.

Consultant will assess and evaluate current sewer service charges, connection fees, and capacity charges, and recommend rates that will ensure the long term financial sustainability of the wastewater facilities, equitably distribute costs across customer classes in compliance with Proposition 218, and meet each facility's ongoing operating expenditures, bond covenants, debt service-obligations, capital improvement needs, and target fund reserve policies. The findings of the study will provide the basis for wastewater rates for at least the next five years.

Sonoma Water owns, operates, and manages Airport/Larkfield/Wikiup, Geyserville, Penngrove, and Sea Ranch Sanitation Zones.

Sonoma Water operates and manages Occidental, Russian River, Sonoma Valley, and South Park County Sanitation Districts under contract with those entities.

SELECTION PROCESS

On March 12, 2019, Sonoma Water and its affiliated sanitation districts issued a Request for Statements of Qualifications to the following nine firms:

1. Bartle Wells Associates, Berkeley, CA
2. Brown & Caldwell, Walnut Creek, CA
3. Carollo Engineers, Walnut Creek, CA
4. CDM Smith, Inc., Concord, CA
5. HF&H Consultants, Walnut Creek, CA
6. Larry Walker Associates, Davis, CA
7. NBS, San Francisco, CA
8. Raftelis, Oakland, CA
9. Stantec, Rocklin, CA
10. Woodard & Curran, Walnut Creek, CA

The Request for Statements of Qualifications was also posted on the Sonoma Water and County of Sonoma Purchasing Department websites.

The five firms listed below submitted Statements of Qualifications.

Bartle Wells Associates

1. HF&H Consultants
2. NBS
3. Raftelis
4. Stantec

The following criteria were used to evaluate each firm:

- 1) Thoroughness of Statements of Qualifications
- 2) Professional qualifications and demonstrated ability to perform the work
- 3) Exceptions to standard terms in the sample agreement
- 4) Local Service Provider Preference

Bartle Wells Associates (Consultant) was selected to perform the work given their prior qualifications, demonstrated ability to perform similar work, their past work with similar public agencies and Sonoma Water, and their understanding of the needs of Sonoma Water.

Sonoma Water may seek to amend or enter into subsequent agreement(s) with Board approval if required, relying upon this competitive selection process, after the preliminary or initial work is completed for the Project.

SERVICES TO BE PERFORMED

Under the proposed agreement, Consultant will prepare a rate study for sanitary sewer service charges, sewer connection fees, and sewer capacity charges. The intent of the study is to independently assess and evaluate each of the County Sanitation Districts' and Sanitation Zones' existing financial situations and provide recommendations on sanitation rates that will provide each with financial stability. The broad objective of each study is to adequately fund sewer utility operations and capital costs while minimizing rates.

The cost of services will not exceed \$275,000. This agreement covers services rendered from September 1, 2019 to September 30, 2022. □

The agreement includes two options for Sonoma Water to extend this agreement for a period of one year each by providing written notice to Consultant thirty days in advance of the expiration date of the agreement and of the first extension option.

Prior Board Actions:

None.

FISCAL SUMMARY

Expenditures	FY 19-20 Adopted	FY20-21 Projected	FY 21-22 Projected
Budgeted Expenses			
Additional Appropriation Requested	\$275,000		
Total Expenditures	\$275,000		
Funding Sources			
General Fund/WA GF	\$275,000		
State/Federal			
Fees/Other			
Use of Fund Balance			
Contingencies			
Total Sources	\$275,000		

Narrative Explanation of Fiscal Impacts:

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With Board approval, additional appropriations of \$275,000 will be made in the Sonoma Water General Fund from fund balance pursuant to the attached budgetary resolution. With Board approval of the requested additional appropriations, Sonoma Water's projected ending General Fund balance at the end Fiscal Year 2019/2020 will be within the target fund balance.

Staffing Impacts:			
Position Title (Payroll Classification)	Monthly Salary Range (A-I Step)	Additions (Number)	Deletions (Number)

Narrative Explanation of Staffing Impacts (If Required):

N/A

Attachments:

Attachment 1: Resolution

Attachment 2: Agreement with Bartle Wells Associates

Related Items "On File" with the Clerk of the Board:

None